Course: F514 Finance and Society

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OpEd Topic: The Invisible Infrastructure - Why the Labor Market Is America's Most Important Financial Institution

Abstract

In public discussion, the labor market is often framed as a statistical indicator of the overall economy, as a means of gauging the level of employment, wage growth, and cyclical momentum. Such a characterization is incomplete. The labor market is not simply a statistical proxy for the economy; it is the primary financial institution responsible for maintaining household financial stability.

Using data from both the U.S. Bureau of Labor Statistics (BLS) and the U.S. Census Bureau, this paper will show that employment quality, which can be defined as the ability of individuals to earn wages sufficient to cover basic needs (the cost of living); the degree to which individuals have job stability; and the availability of employee benefits, are the determinants of household liquidity and creditworthiness, and ultimately, the amount of wealth accumulated over the course of a lifetime.

The labor market serves as the foundational infrastructure upon which all other forms of household financial management exist and through which systemic risk is allocated. Unfortunately, however, this critical infrastructure is currently experiencing two crises simultaneously. On one hand, there exists a growing divergence between the historically low unemployment rate and the actual financial well-being of households. On the other hand, the rapid introduction of Artificial Intelligence (AI) may be accelerating the decoupling of income volatility from wages, while also potentially creating a new paradigm in which labor is no longer viewed as a financial asset, but rather as a commodity with an ever-changing value. Therefore, if policymakers wish to create meaningful financial stability for American households, they will need to abandon their measurement of labor quantity and instead, develop policies that view the structure of work itself as a form of vital financial infrastructure, specifically, focusing on increasing wage adequacy and promoting benefit portability within an increasingly automated world (Board of Governors of the Federal Reserve System, 2025).

Introduction: Re-Thinking the Nature of the Labor Market

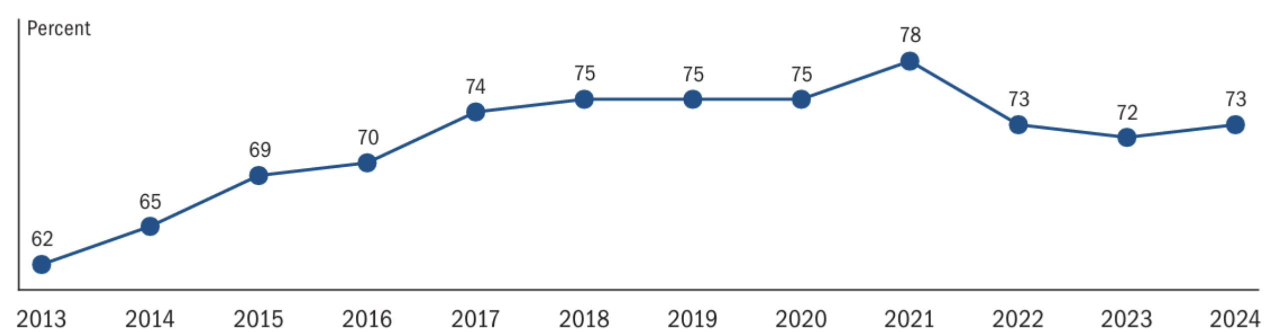
On the first Friday of every month, the entire American financial community holds its breath as the Bureau of Labor Statistics (BLS) releases the "Jobs Report". Immediately after the BLS release, news headlines flood the airwaves: unemployment rates, nonfarm payroll figures, and labor participation rates are released and interpreted by commentators and analysts as signals of the "health" of the economy, as either a "hot", "cooling", or "overheated" labor market. Bond yields adjust in anticipation of potential actions by the Federal Reserve, while equity prices fluctuate based on investor perceptions of the cost of capital.

However, this monthly spectacle obscures a more fundamental misunderstanding about the role of the labor market in our economy. The labor market is rarely treated as anything more than a macroeconomic weather report; a statistical indicator of the relative "humidity" of the economy. Rarely does the labor market receive the attention it deserves as the primary financial institution governing household stability and destiny.

The labor market acts as the primary generator of household liquidity, the underwriter of household creditworthiness, the architect of household retirement savings, and ultimately, the final arbiter of household confidence. When the labor market is functioning properly, meaning wages are sufficient to allow households to maintain a reasonable standard of living, jobs are stable and secure, and employees have access to health insurance and other benefits, households can accumulate wealth and withstand unexpected economic downturns.

Conversely, when the labor market is dysfunctional, financial fragility increases, regardless of the fact that the headline unemployment rate may be at historic lows. The 2024 Economic Well-Being of U.S. Households report (SHED) highlights the disconnect between the perceived financial well-being of many Americans and the reality of their economic situation. A majority of adults surveyed reported that they were "doing okay" or "living comfortably"; however, this percentage was significantly lower than what was reported before the pandemic (Board of Governors of the Federal Reserve System, 2025). Critically, this decline in perceived financial well-being occurred during a period of historically low unemployment rates (U.S. Bureau of Labor Statistics, 2024). The disconnect between employment statistics and the financial well-being of American households illustrates the central paradox of the modern economy: labor quantity does not guarantee financial quality.

Figure 1. Doing okay or living comfortably financially (by year)



Note: Among all adults.

This snapshot from the Board of Governors of the Federal Reserve System shows the percentage of adults reporting they are "doing okay or living comfortably" (from the SHED report) peaked in 2021, remains flat, or declines thereafter. With the unemployment rate dropping to historic lows (3.5%–4%), this proves a point that participation does not equal adequacy.

Therefore, to accurately assess the current financial situation of households, policymakers must cease viewing the labor market as a minor factor in the larger economy and start viewing it as the underlying financial architecture, i.e., the "invisible infrastructure" that determines which households will survive the next economic downturn, and which will be unable to do so.

Labor Income as the Household Balance Sheet's Primary Asset

Labor income is the single most important factor determining what a household consumes, saves, and borrows, and, therefore, it should be treated as the key asset within a household's balance sheet.

Household finance literature has long recognized that income is more than just a series of cash inflows; it is also the driving force behind nearly all economic decisions a household makes. As such, Friedman’s Permanent Income Hypothesis suggests that, while individual spending decisions are made based on the flow of cash received today, those decisions are based on a “permanent” estimate of each household member’s lifetime earnings stream. Likewise, Modigliani’s Life Cycle Theory posits that workers' lifetime incomes determine their propensity to save during the prime earning years of their working lives in order to have sufficient funds to consume in retirement.

Both theories point to a common conclusion: expected labor income is the primary factor determining the extent to which households engage in financial planning and budgeting, i.e., expected labor income is the primary factor determining the amount of money available to spend, save, borrow, etc.

From a balance sheet perspective, labor income is typically the largest asset a household owns, although this is rarely reflected in a household's formal financial statements. Labor income serves as a type of "human capital," representing an intangible, high-yielding resource that provides implicit collateral for a household's most significant liabilities, such as mortgages, student loans, credit card debt, etc. When a household has a stable and predictable labor income, its human capital serves as a "low-risk" asset, and the household is viewed by lenders and other market participants as having low risk and thus being creditworthy. Conversely, if a household has a highly variable or unpredictable labor income, its human capital is viewed as a "high-risk" asset, and the household's creditworthiness suffers.

As reported by the SHED report, data support the importance of labor income in the United States. As of 2024, labor income remains the primary source of income for the vast majority of households in the United States. While there are certainly some households that generate additional income through supplemental gig work, government transfers, and investments, wages remain the primary source of liquidity for households. Liquidity is the only meaningful measure of a household's ability to absorb shocks, and it is the buffer that determines whether a household will be able to weather a financial crisis or enter a cycle of debt.

However, the rapid development of artificial intelligence (AI) and the associated automation of various tasks previously performed by humans create a "valuation shock" to this asset. Specifically, AI-driven automation has introduced a new layer of systemic uncertainty to the prediction of future labor income. As the shelf-life of professional skills is reduced due to the replacement of many tasks with algorithms, the "net present value" of a worker's human capital is essentially reduced. This reduction in net present value creates a psychological and financial "scarcity" mindset among workers who earn high wages, causing them to reduce their spending and investment activities because they now view their primary financial asset, their labor, as a less secure investment opportunity. In this way, AI is changing not only how we work, but also the risk profile of the typical American household balance sheet.

Employment Levels Versus Employment Quality

While the unemployment rate, which has remained near historical lows in recent years, is often cited by policymakers as a definitive indicator of economic success, data collected in the SHED report reveal a high level of financial vulnerability among households that cannot be reconciled with the notion of a strong economy (U.S. Bureau of Labor Statistics, 2024). The explanation for the disparity between the unemployment rate and financial vulnerability is based on a fundamental difference between these two concepts. Unemployment rates measure labor market participation, but provide absolutely no information about labor market adequacy, i.e., the number of jobs created is irrelevant if the jobs are unaffordable and/or unlivable.

Therefore, to assess the overall well-being of the American household, we need to shift our focus from the measurement of job quantity to the measurement of job quality. Job quality refers to a multifaceted construct that ultimately determines a household's financial trajectory. It includes both the availability of a paycheck and the characteristics of that paycheck, e.g., real wage growth relative to inflation, the stability of hours worked, the availability of comprehensive benefits, the predictability of scheduling, and the presence of career mobility. Data collected by the U.S. Census Bureau (2024) indicate that, after adjusting for inflation, median household income has been subject to significant volatility over the past few years, indicating that the relationship between nominal wage growth and real wage growth is tenuous at best.

Table A-1. Current and real (constant 1982-1984 dollars) earnings for all employees on private nonfarm payrolls, seasonally adjusted

	Dec. 2023	Oct. 2024	Nov. 2024(p)	Dec. 2024(p)
Real average hourly earnings(1)	$11.12	$11.24	$11.25	$11.23
Real average weekly earnings(1)	$382.62	$385.56	$385.77	$385.34
Consumer Price Index for All Urban Consumers	308.742	315.454	316.441	317.685
Average hourly earnings	$34.34	$35.46	$35.59	$35.69
Average weekly hours	34.4	34.3	34.3	34.3
Average weekly earnings	$1,181.30	$1,216.28	$1,220.74	$1,224.17
OVER-THE-MONTH PERCENT CHANGE				
Real average hourly earnings(1)	0.1	0.1	0.1	-0.2
Real average weekly earnings(1)	0.1	0.1	0.1	-0.1
Consumer Price Index for All Urban Consumers	0.2	0.2	0.3	0.4
Average hourly earnings	0.3	0.4	0.4	0.3
Average weekly hours	0.0	0.0	0.0	0.0
Average weekly earnings	0.3	0.4	0.4	0.3
OVER-THE-YEAR PERCENT CHANGE				
Real average hourly earnings(1)	0.9	1.4	1.3	1.0
Real average weekly earnings(1)	0.9	1.4	0.9	0.7
Consumer Price Index for All Urban Consumers	3.3	2.6	2.7	2.9
Average hourly earnings	4.3	4.0	4.0	3.9
Average weekly hours	0.0	0.0	-0.3	-0.3
Average weekly earnings	4.3	4.0	3.7	3.6

Footnotes
(1) The Consumer Price Index for All Urban Consumers (CPI-U) is used to deflate the earnings series for all employees.
(p) Preliminary

The above snapshot from the U.S. Bureau of Labor Statistics (BLS) shows how the real average hourly growth in pay has remained stagnant over the past few years.

Consequently, inflation that either matches or exceeds wage growth reduces household margins, thereby reducing disposable income and increasing the burden of taxation on the working class. Thus, a tight labor market that fails to deliver real wage growth is a productive machine that generates activity, but not surpluses.

This current tension is intensified by the rapid incorporation of artificial intelligence (AI) into the workplace. AI introduces a new, invisible threat to the quality of employment. While previous technological changes primarily impacted manual labor, AI has the potential to "hollow out" the middle of the labor force by threatening the cognitive, administrative, and analytical jobs that historically provided high-quality and stable employment. Although AI will likely not cause mass unemployment, AI's creation of a "quality-degradation" effect is also present. Algorithmic management and the automation of distinct tasks caused by AI will create a "gig-ification" of professional jobs, creating an environment where roles are broken down into smaller parts, wages are subject to downward pressure through standardized tasks, and long-term career advancement opportunities are less likely to exist, providing the opportunity for household wealth to develop.

Additionally, the use of AI-driven scheduling algorithms by employers results in unstable scheduling patterns for employees. While these scheduling algorithms may be beneficial for employers by increasing efficiency, they create an unpredictable schedule for employees, resulting in a "flexibility paradox". Employees are available at all times, but have no idea what their next paycheck will look like. This lack of predictability prevents the labor market from functioning as a stable financial institution. An employee needs to have a predictable income above and beyond the cost of living in order to establish a financially resilient foundation, regardless of the headline unemployment rate.

Income Volatility and Financial Instability

In the financial world, the value of an asset is defined not only by its expected return but by the amount of variance associated with the return of that asset. A high-yielding stock is useless to an investor who has limited liquidity if the price of the stock swings wildly at the exact time when the investor needs liquidity. The same principle holds for the labor market. Income volatility, the unanticipated fluctuation in the amount of money received by an employee, is a silent killer of household financial stability, destroying the basic ability to stabilize consumption and build wealth.

Employees who receive irregular pay, whether it is from working in a gig economy, having variable hours, or receiving commission-based compensation, are required to operate in a state of constant defensive finance. They are forced to hold high levels of precautionary savings or utilize high-interest debt to fill the gaps between paychecks. According to the 2024 Survey of Household Economics and Decisionmaking (SHED), a large portion of employees are supplementing their primary source of income by engaging in side-gigs (Board of Governors of the Federal Reserve System, 2025). While many view this flexibility as empowering, it is frequently viewed as a symptom of a labor market that is failing to provide a stable primary source of income for employees.

Research conducted by Morduch and Schneider (2017) found that large amounts of income volatility are not unique to lower-income individuals, but are a common occurrence among middle-class households, including those that appear to have stable employment. Large amounts of income volatility result in liquidity shortfalls, which occur when a household is technically solvent but does not have enough cash available to meet its immediate obligations. This is not a failure of household budgeting; it is a structural failure of the labor market as a financial institution.

In the past, volatility stemmed from scheduling and contract work. Increasingly, however, a new source of uncertainty has emerged: automation risk. The emerging use of artificial intelligence (AI) is expected to increase the level of income volatility to a degree that will be referred to as "algorithmic insecurity." With the implementation of AI-based management systems, labor is increasingly viewed as a "just-in-time" commodity rather than a long-term investment. AI algorithms are capable of predicting demand so accurately that companies can scale back or scale up human labor in real-time increments, resulting in dramatic variations in the number of hours worked per week. While this is considered to be "efficient" for the company, it represents a significant loss of predictability for the household. When AI automates individual tasks within a profession, it produces a "piece-work" type of economic system where employees are paid for each task they complete, further disassociating income from the predictability of a standard work-week.

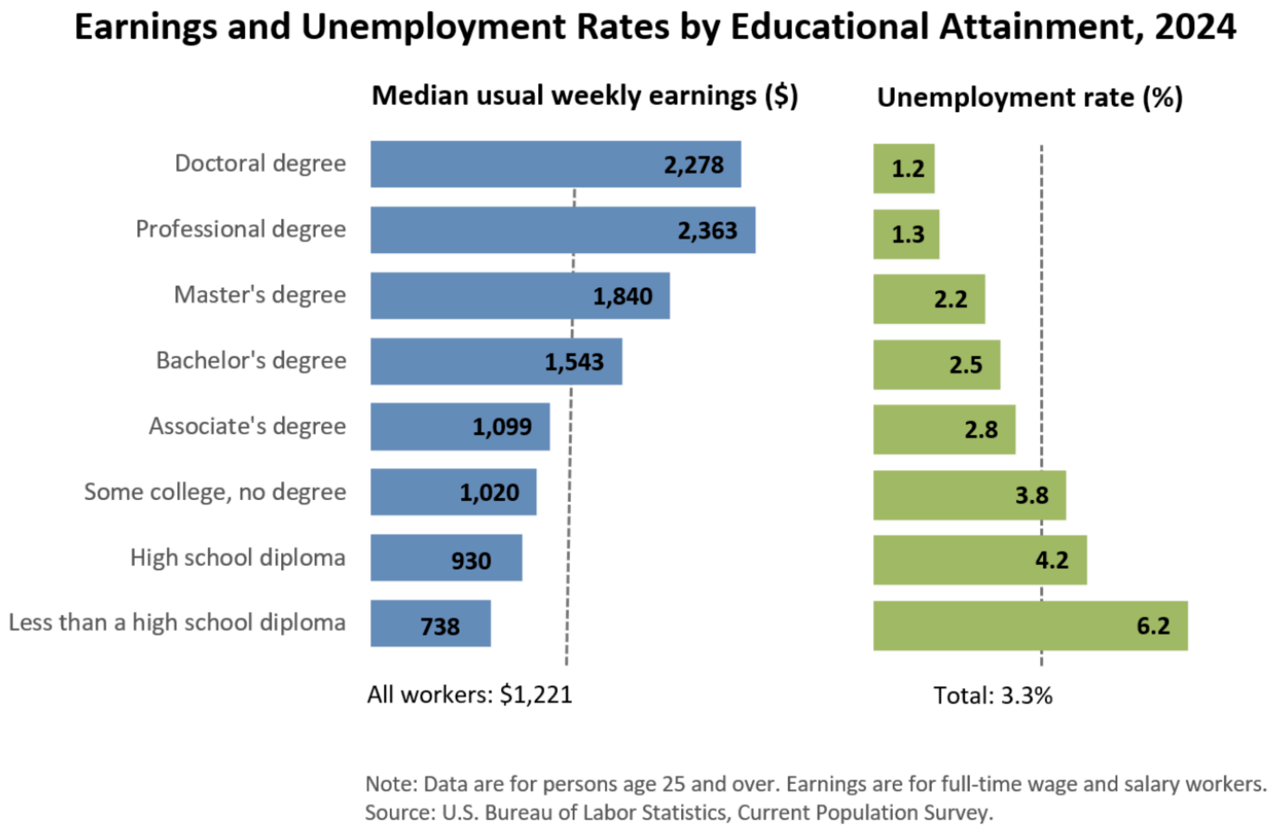
The most accurate measure of this volatility is the ability to absorb a surprise event. The SHED data shows that, although there was an improvement in emergency preparedness during the last decade, emergency preparedness has leveled off in recent years, and a significant percentage of adults remain unable to meet a $400 emergency expense without access to cash or a similar liquid resource (Board of Governors of the Federal Reserve System, 2025).

An individual's ability to prepare for an emergency is dependent upon the existence of a financial surplus. Surpluses are dependent upon the stability of a primary source of labor income. Therefore, when the labor market, our primary financial institution, increases the volatility of income higher than the average household can mitigate, financial fragility is the inevitable consequence. If AI continues to transform stable careers into a series of unpredictable, algorithmically driven tasks, the "plateau" in American financial resilience may soon begin to decline.

The Distributional Gateway - Labor Market Inequality

The labor market is the most important determinant of income distribution in the US, but the labor market is now rewarding only very specific forms of human capital. Public debate regarding income inequality typically concentrates on tax policy and social safety nets as the best means of reducing income inequality. In fact, the growing gap in America's experience of economic success began at the clock-in time. The labor market serves as a "distributional gateway". For workers with the appropriate credentials and human capital, the labor market provides the surplus necessary to gain access to the world of compound interest; for all other workers, the labor market is a treadmill that barely keeps pace with the increasing costs of living.

The divergence in the financial experience of worker classes is largely a result of skill-based technological change, which has dramatically disconnected the financial experiences of worker classes. According to the U.S. Bureau of Labor Statistics (2024), there are substantial and long-standing differences in labor market outcomes between workers with bachelor's degrees and workers without a high school diploma. While the difference in wages represents a significant "wage gap," it also represents a "stability gap."



The above snapshot illustrates the "distributional gateway," showing that the labor market provides a much more stable "financial institution" for degree holders than for others.

Higher wages provide more than just a greater ability to consume goods and services. Higher wages provide the ability to save and build assets. In a balanced household budget, savings generate asset ownership (stocks, real estate, retirement accounts). If technology amplifies the productivity of capital more than labor, distributional consequences follow.

Asset ownership generates compounding wealth that is independent of labor. When the rate of return on capital (r) exceeds the rate of economic growth (g), according to Thomas Piketty (2014), the concentration of wealth increases. However, for the bottom 90% of households, the only way to obtain capital to invest in the first place is through the surplus produced by their labor. Without a wage surplus, the gateway to capital acquisition remains closed. Therefore, labor market inequality is the first stage of systemic wealth inequality.

Ultimately, the labor market does not simply represent the current state of social inequality; it produces and scales the inequality in addition to representing it. Employment is treated as if it were nothing more than a simple "time for money" exchange, rather than the structuring mechanism of work that determines who can participate in the broader American financial system. To address the concentration of wealth, one must address the quality of the primary financial institution in which Americans spend the majority of their working hours: their place of work.

Benefits as Embedded Insurance Mechanisms

Benefits are an integral part of employment. Benefits are forms of embedded insurance mechanisms that reduce exposure to shocks. Employees without benefits transfer the risk associated with those shocks to their own personal savings. SHED data demonstrate that employees with employer-provided benefits report higher levels of financial well-being (Board of Governors of the Federal Reserve System, 2025). This reflects theoretical principles of economics: benefits reduce variance in consumption outcomes by transferring the risk to a pool of resources. Employees with comprehensive benefits report substantially higher levels of comfort relative to their financial situation. Benefits function in the context of financial markets as a derivative hedging against income risk.

Psychological Security and Macro-Economic Feedback Loops

Labor market stability is a psychological anchor for expectations and behavior of the entire economy, just like a financial institution has a currency. Consumer Confidence is the currency of the labor market, because nearly 2/3 of the United States Gross Domestic Product (U.S. GDP) comes from consumer spending. Therefore, the collective psychological well-being of the American workforce is the greatest driver of the economy. When consumers believe in their employment security, they will spend with a "wealth effect" mindset; however, if that belief falters, consumers will shift to a "precautionary savings" mode and create a self-fulfilling prophecy of economic stagnation.

According to the 2024 SHED Report of The Economic Well-Being of U.S. Households, there is a direct relationship between the degree of employment stability and subjective financial optimism (Board of Governors of the Federal Reserve System, 2025). Optimism about one's finances is what drives the credit cycle. A worker who believes he/she will have a steady income is likely to enter into a mortgage agreement or purchase an automobile, thus stimulating the financial system. Conversely, the introduction of uncertainty in a worker's employment status can be considered a tax on the individual's cognitive abilities. Research in behavioral economics conducted by Mullainathan and Shafir (2013) demonstrated how chronic stress related to financial instability (or "scarcity") impairs a person's ability to process information and make decisions. The impairment in a person's ability to process information due to the chronic stress associated with financial instability limits their "cognitive slack". The limited "cognitive slack" results in lower quality decision making, increased rates of burnout, and decreased ability to engage in long-term financial planning.

Artificial Intelligence (AI) represents a new form of psychological fragility. While the previous cyclical downturns were typically viewed as temporary, the perception of being displaced by AI appears to be permanent. Furthermore, even for individuals currently employed, the presence of AI in the workplace creates a constant sense of scarcity (i.e., fear of losing one's job to an algorithm). The "fear of the algorithm" causes employees to perceive that their skills are at risk of becoming obsolete with each new version of a large language model (LLM). Consequently, their "psychological human capital" is essentially worthless. This perceived worthlessness leads to a "hunker down" attitude, where employees reduce their discretionary spending and defer important life events (e.g., purchasing a home, starting a family) in order to mitigate the risk of an unpredictable future created by rapidly evolving technology.

Therefore, a potentially disastrous macroeconomic feedback loop has been established. Labor insecurity is not simply a reflection of economic weakness; it contributes to it. Anxiety caused by AI-related concerns or volatility in the gig economy significantly reduces the "cognitive bandwidth" of the workforce, resulting in decreased productivity. Anxiety that negatively impacts the "cognitive bandwidth" of the workforce also translates into a decrease in aggregate demand, resulting in decreased revenues for businesses. Businesses respond to decreased revenue by automating processes using AI in order to reduce costs, further reducing the psychological security of the worker.

In order to break the cycle of decreasing economic growth, we must understand that the efficiency generated by companies as a result of the volatility in the labor force is usually a net loss for the macro-economy. In order for the "consumer-driven economy" to continue to grow, the labor market needs to maintain its role of providing a level of psychological security. Therefore, we need to consider labor stability not as a privilege afforded to workers, but rather as a necessity for the continued operation of a growing, high-demand economy.

Credit Markets and Labor Income

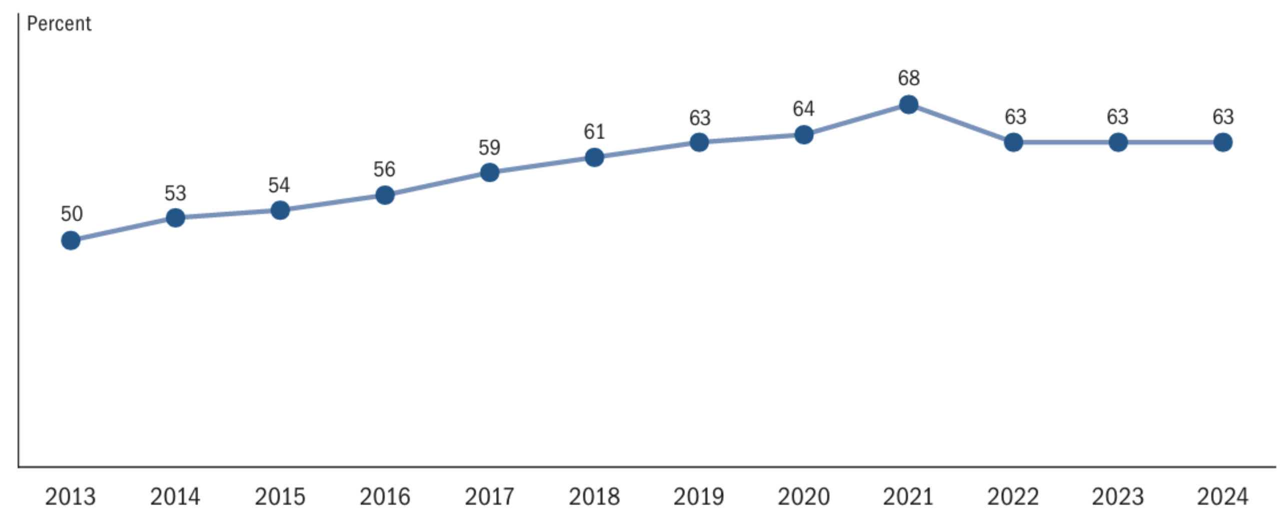
One of the main metrics that a lender uses to evaluate the potential of a person to repay his/her/their debt obligation is called the debt-to-income (DTI) ratio. The DTI ratio measures the percentage of an individual's total monthly gross income that is required to service all of their debt obligations. For example, if you have a monthly gross income of $6,000 and you pay $2,500 per month toward all of your debts, your DTI ratio would be approximately 42 percent ($2,500 divided by $6,000). Most lenders consider a DTI ratio above 36% to be too high, as there is an increased risk of default. Therefore, a lender will generally not approve a loan application unless he/she/they believe that the applicant has sufficient income to meet the monthly payments on the loan.

However, just like the stock market, labor markets are subject to fluctuations in value. During times of economic growth and expansion, employers typically experience a significant amount of competition from other businesses for qualified employees. As a result, many employers offer wages at levels that are higher than those historically experienced by employees in similar occupations. As this happens, consumer spending increases, and the economy grows. In addition, during periods of economic growth and expansion, consumers' incomes tend to be less predictable and thus less reliable. As a result, consumers may be less willing to commit to large, long-term purchases, such as automobiles and homes. However, during times of economic contraction and recession, employers are faced with a significant amount of excess capacity in the form of idle production equipment and facilities. As a result, employers have little choice but to reduce the number of employees working for them.

Therefore, the demand for labor decreases, and the prices that workers receive for their labor decrease as well. As a result, the income available to consumers decreases, and consumer spending decreases accordingly. As consumer spending decreases, the economy contracts further, creating a downward cycle of decreasing economic activity. During times of strong labor markets, consumers' wages are stable and predictable, allowing lenders to extend larger amounts of credit to consumers at relatively low interest rates. During times of weak labor markets, consumers' wages are less stable and less predictable, causing lenders to extend smaller amounts of credit to consumers at relatively high interest rates.

According to the Board of Governors of the Federal Reserve System (2025), the SHED reported that nearly 40% of Americans do not have enough savings to cover a $400 emergency expense. In fact, among the lowest-income households in the survey, nearly 70% of respondents did not have enough savings to cover a $400 emergency expense. Furthermore, the survey revealed that nearly 50% of Americans do not have enough savings to cover a three-month emergency expense, which is a common rule-of-thumb for determining whether or not a household has sufficient savings to avoid going into debt if the household experiences a period of reduced income due to job loss, illness, etc. Additionally, according to the survey, households with lower or more variable incomes were far more likely to use alternative financial services that charge extremely high interest rates than households with steady incomes and few expenses.

Figure 20. Would cover a $400 emergency expense completely using cash or its equivalent (by year)



Note: Among all adults.

The snapshot is a response to the survey, showcasing how the percentage rate remains rigid at 63% over the past few years.

As a result, when labor markets weaken, the entire credit structure is weakened, leading to widespread defaults and bankruptcies. The recent 2020 COVID-19 pandemic provides an excellent example of this phenomenon. In response to the pandemic, Congress passed the CARES Act, which temporarily suspended consumer debt payments and provided billions of dollars in additional funding to state and local governments. However, despite the efforts of Congress, millions of Americans lost their jobs and were unable to afford their monthly debt payments. According to the Urban Institute (2021), the delinquency rate for consumer debt in the United States increased by over 100% in 2020 compared to 2019. Furthermore, in late 2020, several major credit reporting agencies announced that they would begin removing negative credit reporting information from consumers' credit reports related to COVID-19-related financial hardship.

In summary, the credit markets of the United States are highly dependent on the strength of the labor markets. A strong labor market is necessary for a healthy credit market, and a weak labor market creates a serious threat to the stability of the credit markets.

Historically, the 2008 financial crisis serves as a classic example of this interdependence. At the time, the federal government had implemented policies designed to stimulate the housing market, such as providing very low down payment requirements for homebuyers and requiring lenders to provide loans to buyers regardless of their credit history. Many economists at the time argued that these policies were contributing to a housing bubble in which house prices were rising at unsustainable rates. However, while the housing bubble was certainly a factor in the financial crisis, the most devastating phase of the crisis was actually triggered by the collapse of employment. Millions of people lost their jobs and consequently lost the ability to afford their monthly mortgage payments. As a result, what were once considered "safe" securitized assets turned out to be "toxic liabilities."

On the other hand, however, AI is also making the income of borrowers more unstable and unpredictable. While many experts have predicted that AI will replace the jobs of many humans, the reality is that AI is already changing the nature of work itself. More and more people are becoming "giggers", temporary, contract-based workers who do not receive the same benefits and protections as full-time employees. As a result, the quality of the income that lenders are using to underwrite long-term debt obligations is diminishing. In order to mitigate this risk, lenders need to develop new credit-scoring models that take into account the volatility of modern labor markets. Unfortunately, these types of models do not yet exist. Instead, lenders continue to base their decisions on credit histories and traditional employment data. If the use of AI leads to greater income variability, the entire U.S. credit architecture will experience a severe mispricing of risk. What were once considered "low-risk" borrowers may turn out to be the "subprime" borrowers of the AI age.

When labor income destabilizes, the financial system does not remain insulated; it absorbs the shock.

Countering the Counterargument: The Illusion of “the Strongest Labor Market in Generations”

Any competent examination of the American labor market must account for an often-repeated counterargument: based on virtually all historical measures, the labor market has never been stronger. Many mainstream economists and critics argue that, based on “the hard facts,” we are experiencing a golden era for the average American worker. The U.S. Bureau of Labor Statistics (U.S. Bureau of Labor Statistics, 2024) reports that unemployment has remained at historically low levels of under 4% for a record period, while there have also been an unprecedented number of job postings, resulting in an imbalance where there have been significantly more postings than applicants for years. Additionally, nominal wage increases for the past few years have been at their highest level in decades, particularly for low-income workers who have had the bargaining power to advocate for higher pay.

While this appears to be a strong position to take on paper, the 2024 Economic Well-being of U.S. Households (SHED) report provides a stark contrast to the above statement: despite the record-low unemployment rates and high volume of job postings, the percentage of adult respondents that reported being able to say they are “doing okay” or “living comfortably” did not recover to the 2021 peak (Board of Governors of the Federal Reserve System, 2025). The gap between the two statistics demonstrates that the “strength” of the labor market is a mirage if measured solely by the number of jobs created rather than whether or not the jobs are providing enough financial security to allow the individuals employed in them to meet their basic needs.

This gap is caused by what we call a “cost-of-existence” problem. Although nominal wages increased over the same time frame, most of the increase was eaten up by an equally large increase in the cost of the big-ticket items necessary to maintain a quality of life. Historically high housing prices, continued inflation in healthcare expenses, and the resurgence of student loan repayment obligations have further reduced household margins (U.S. Census Bureau, 2024). When a person's primary financial institution (i.e., the job) does not provide a surplus sufficient to offset the rising cost of the

American Dream, then the financial institution is failing to meet the needs of its member(s), regardless of how tight the labor market is.

The recent emergence of Artificial Intelligence (AI) has added a contemporary psychological layer to this counterargument. We are witnessing a new social phenomenon called “precarity amidst plenty.” Firms continue to hire employees, yet the rapid incorporation of AI into work environments produces a sense of phantom stability among employees. An employee might have a job today, but the constant media coverage of AI's ability to perform cognitive functions automatically creates a lasting anxiety among employees that they will become obsolete. Thus, even when unemployment is low, the subjective feeling of having financial stability is undermined due to AI-Anxiety.

In addition, according to the 2024 SHED data, the concept of financial well-being is comprised of both an individual's current economic condition and their expectation of future stability (Board of Governors of the Federal Reserve System, 2025). Therefore, if AI threatens to depreciate human capital in the next few years, then the "strong" labor market experienced in recent years is viewed by many as a short-term respite from impending uncertainty. Overall, aggregate strength masks individual/collective strain; while the labor market may be "hot" for investors, it could simultaneously be "cold" for the households trying to make ends meet within it.

The Labor Market as a Form of Physical Infrastructure

If a nation's physical infrastructure, such as roads, bridges, and electrical transmission lines are considered a necessary condition for commerce to flourish, then the infrastructure for a nation's labor markets can similarly be viewed as a necessary condition for the flow of income. We have traditionally viewed initiatives to improve access to child care and education, as well as the ability of workers to collectively bargain for better wages and working conditions, as "social issues" or as "welfare programs". However, these activities are in fact the critical elements of a financial infrastructure which ultimately determine the quality and stability of a family's principal asset: their human capital.

As noted earlier, when a nation's physical infrastructure deteriorates, the cost of goods and services increases, as well as the time required to transport those goods and services. Conversely, when a nation's labor infrastructure is allowed to deteriorate, the "supply chain" for human capital becomes unstable, resulting in increased income volatility and reduced liquidity for households. For example, the lack of affordable child care can act as a structural bottleneck limiting the ability of millions of individuals to participate in the labor force or causing many to accept employment opportunities that are of poor quality and/or precarious in nature and therefore do not contribute to long term financial stability for families (U.S. Census Bureau, 2024).

The economies of Norway, Sweden, Denmark, and Finland serve as a compelling example of how to combine flexible labor markets with stable and portable social safety net programs in order to create a national infrastructure that promotes both economic growth and significant financial stability for the majority of citizens. These nations' systems are often referred to as "flexicurity". By providing a flexible labor market with strong, universally applicable wage floors and robust, universally available social benefit programs, these nations demonstrate that a nation can achieve high levels of economic competitiveness while simultaneously achieving high levels of financial stability for its citizens.

In these flexicurity systems, the risk of losing one's job is absorbed at the societal level through public institutions and therefore does not become individualized on a household balance sheet. This has the effect of creating a more fluid economy, which encourages workers to transition from one job to another without suffering the devastating consequences associated with the loss of employer-sponsored health insurance and retirement security, which often accompany changes in jobs in the U.S. (Board of Governors of the Federal Reserve System, 2025).

With the advent of Artificial Intelligence (AI), the urgency of viewing the labor market as a type of infrastructure is intensified. While AI is not simply a new tool, but also a new operating system for the global economy, there is a pressing need to upgrade the learning infrastructure to ensure that the impact of this technological shift does not result in massive financial instability. If education continues to be a high-cost, high-debt barrier to entry, the labor market will not be able to distribute the productivity gains of AI to the population as a whole. Therefore, we should treat the provision of lifelong upskilling and AI-literacy training as a public utility essential to maintaining the creditworthiness of the American workforce.

Viewing labor institutions as a form of infrastructure fundamentally alters the manner in which we frame our policy debates. Rather than focusing on reactive "safety nets" designed to mitigate the effects of falling off a cliff, we would focus on proactively building foundations to prevent the fall from occurring in the first place. If we acknowledge that the labor market represents our most critical financial institution, then investing in the structural integrity of that institution (through the protection of collective bargaining rights, the establishment of portable benefit programs, and the upgrading of education) is not "social spending," but rather the most efficient means of establishing the foundation for long-term financial stability for the nation.

Policy Recommendations: Strengthening the Financial Institution of Work

If the labor market is recognized as America's most critical financial system, then economic reform needs to go deeper than surface measures and focus on the structure of the institution of work itself. We cannot continue to treat financial instability as a budgeting problem when, in reality, it is a design defect of the institution. In order to enable the labor market to perform its function as a stabilizer of household balance sheets, policymakers need to use a "design thinking" method of understanding the labor market, particularly because AI has the potential to speed up the weaknesses that already exist in the labor market.

1. **Prioritize Real Wage Growth and Value Capture**
   To create a labor market that can serve as a wealth-creation engine, productivity increases have to lead to real wage growth. Over the past few decades, the disparity between productivity and compensation has grown, which is a factor of wealth concentration as described by Thomas Piketty (2014). As AI creates large productivity leaps for companies, there is a chance that all of those gains will go directly to the company and not to the employee. Policy must support both collective bargaining and labor competition to guarantee that employees receive a fair portion of the "AI dividend". Only real wage growth provides a long-term source of surpluses for households to make the transition from laborers to asset holders.
2. **Stabilize Income Through Predictable Scheduling**
   Financial stability is dependent upon income stability; therefore, we must minimize the "volatility tax" by promoting the use of predictable scheduling. While AI is currently used

to optimize "just-in-time" labor, it can be regulated to optimize schedules to provide workers with consistent hours and steady earnings. Any policies that require companies to report the minimum amount of money that employees earn per hour and to give employees advance notice of their shifts will allow households to engage in the same "consumption smoothing" behaviors that Friedman described, thus lessening the need for households to rely on high-cost emergency lending.

3. **Decouple Employee Benefits from Employer Status**
   The "Great Risk Shift" can only be reversed if the American safety net is designed to be as portable as the modern employee. Health care and retirement security should not be based on employment status, a model that is becoming outdated due to the growing influence of the gig economy and AI disruption in the labor market. Therefore, we need "portable benefits" that remain with the employee regardless of whether they switch platforms or job positions. By auto-enrolling employees in retirement savings plans and by disconnecting health insurance from employment, we can turn what were once viewed as "perks" of having a job into strong financial shields for the household against systemic shock (Morduch & Schneider, 2017).
4. **Consider Human Capital Development to be Infrastructure**
   As AI can make certain occupational skill sets obsolete within a year or two, education and workforce training must be considered a public utility. We must remove the financial barriers to reskilling to help narrow the stability gaps reported by the BLS (2024). If the entire cost of the "human capital update" necessary to maintain relevance in an AI-driven world is born by the individual through debt, then the labor market is no longer a distributive mechanism, but a debt trap.
5. **Develop An Employment Quality Index That Tracks The Things That Matter Most**
   We also need to reform how we measure the performance of the nation. A "jobs report" should no longer be simply a report of the unemployment rate. We need to develop an "Employment Quality Index" that monitors real wage growth, income volatility, and benefit coverage in addition to participation (Board of Governors of the Federal Reserve System, 2025). If the Federal Reserve and the Treasury are to be effective stewards of the economy, then they must have access to data that reflects the actual financial resilience of households, not merely the volume of transactions occurring among employers.

Reframing labor institutions as infrastructure moves the discussion from reactive social spending to proactive financial design. If we wish to build a financially resilient America, we must design a labor market that is not only busy but one that we are willing to call our country's most important financial institution.

Conclusion: The Labor Market is America's True Safety Net

Too often, Americans define their "safety net" as those programs of government that are reactive, responding to problems after the fact. Unemployment insurance, food stamps, and Social Security are the things we point to as the barriers that prevent citizens from falling into poverty. But what about the institutions that act proactively to prevent falls? What about the labor market?

The data collected in the 2024 Survey of Household Economics and Decisionmaking (the SHED) is not just a collection of answers from surveys. Rather, it is an empirical proof of our current economic measures (Board of Governors of the Federal Reserve System, 2025). The data demonstrate that a labor market may be "healthy" by all standard participation measures, low unemployment rates, strong payroll growth, and yet still produce households with unstable finances. These findings should encourage us to shift our understanding of employment "health," and not just whether a person has a job, but rather the quality and reliability of that job.

Artificial Intelligence (AI) is essentially a stress test for this safety net. AI is dramatically altering the risk associated with human capital. For example, AI threatens to turn careers that were once considered stable into transactional, task-based arrangements. As such, if we continue to design the labor market based on firm-level efficiency at the expense of household-level stability, we will be creating policies that undermine the entire foundation of our financial stability. The debate over artificial intelligence is often framed as technological, but it is also fundamentally financial. Therefore, AI must be subject to public policy that views workers not only as units of production, but as stakeholders in the financial stability of their own families, and ultimately as contributors to the overall stability of the consumer and credit markets.

Jobs are more than jobs. Jobs represent the basis of financial citizenship, and are the gateway to participation in a society where people can acquire wealth and access credit. In order to create households that are financially stable, we need to transition from viewing the labor market as nothing more than a weather forecast to building a labor market that functions as our most critical financial institution. The labor market needs to be constructed to be resilient enough to survive technological disruption and capable of converting labor into lasting dignity. If the labor market does not provide stability, then there will be no amount of fiscal or monetary tinkering that will be able to protect the American household.

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